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What your broker probably didn't tell you about SBA loans

Many of the first-time buyers I talk to think that the SBA works like this: you put 10% down, the bank covers 90%, and that's it. In reality there are a few moving parts that can quietly blow up your deal or change how much cash you really need.

Here's my easy-to-read version that I wish more buyers heard up front.

1. The "10% down" thing is real, but it's not always your cash.

The SBA wants at least 10% equity in the deal. On a straight acquisition, at least 5% of this has to be your money, and up to 5% can come from a seller note in the right structure. So on a \$1M deal, you might get in with \$50k of your own cash and a \$50k seller note covering the rest of the injection.

The catch here is that the seller note has to be on "full standby." That means the seller gets **no** principal and **no** interest payments until the SBA loan is completely paid off, which is usually 10 years. A lot of sellers hear that and say absolutely not, so don't assume that the 5% from seller piece is easy. It is important to note here that the full standby only applies to the portion of the seller note being used to satisfy the equity injection.

2. The rules have changed and some people are still playing by the old ones.

A couple of years ago seller notes only had to sit on standby for 24 months. Now if the note is counting towards the equity injection, it needs to be on full standby for the whole loan term. That's a big shift, so if a broker is pointing to old deal structures they did back in 2022–2023, you want to make sure your lender is actually ok with what's being proposed today.

3. DSCR is the number that really decides if you close or not.

Debt Service Coverage Ratio (DSCR) is just a fancy way of saying how many dollars of cash flow do you have for every dollar of loan payment. Take the business's cash flow, divide it by your annual SBA payment, and that's your DSCR. The SBA's floor is about 1.15, most lenders want to see around 1.25, and if you're at 1.5 or above you're usually in a much better spot.

It is important to note here that the bank will subtract an "Owner's Draw" or "Living Expense" from the cash flow before they calculate that 1.25 ratio. So think EBITA (or a version of SDE) after this reasonable living allowance from a lender perspective.

Where people get burned is on the add-backs. The CIM might show a beautiful SDE number, but the lender doesn't have to accept every adjustment. If the bank knocks out a few of the "creative" add-backs, your DSCR can fall under the line and the deal just dies after you've already spent your time and money.

4. Life Insurance Requirement.

Most SBA lenders require a collateral assignment of a life insurance policy for the principal owner. It's a small detail, but it's a classic hidden cost and hurdle.

5. Personal guarantees actually mean personal.

If you own 20% or more of the business, you're personally guaranteeing the SBA loan. That usually means your house and personal assets are on the hook, not just the business. That doesn't mean SBA is bad, it just means you should treat the leverage seriously and not stretch to the edge of what you can barely afford.

I've been asked by some of my clients in the past if they could use an LLC to acquire the business and shield their personal assets from this guarantee. When you use an LLC to acquire a business, the LLC is technically the **primary borrower**. In a standard scenario, this would protect your personal assets from the business's creditors. However, by signing the guarantee, you are waiving the limited liability protection specifically for that debt.

If the LLC then defaults, the lender goes after the LLC's assets first. If those are insufficient, the personal guarantee allows them to pivot directly to your personal bank accounts, investments, and in many cases, even take a lien on your home if you have sufficient equity.

An example I like to use is to think of the Personal Guarantee as a **Backdoor** to your personal bank account. The LLC is the front door, as it stops vendors and customers. But the SBA guarantee lets the bank walk right through the back door and grab your personal assets if the business can't pay.

Bottom line.

The SBA is an amazing tool for buying a small business, but it rewards people who understand the basics before they start sending LOIs around. Thin DSCR, aggressive add-backs, or a seller who hates standby notes aren't just negotiation headaches, but they're the very things that can kill your deal late in the process.

If anyone has SBA issues they're running into, or have related questions, just comment below and I'll respond.

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Asset deal vs. stock deal — what you actually pay in taxes (and why the seller pushes back)

I come from a Big 4 (EY) and Private Equity (Morgan Stanley) background and have helped clients buy and sell small businesses for years. One of the most consistently misunderstood things I see first-time buyers get steamrolled on is deal structure, specifically whether you're buying the assets of the business or the stock/membership interest.

Brokers gloss over it. Sellers definitely don't volunteer the information. And most posts I've seen here either say "consult a CPA" (not helpful) or give a two-sentence answer that doesn't actually explain the math. So here's what you need to know:

Why you almost always want an asset deal as a buyer

When you buy assets, you get what's called a step-up in basis. That means the purchase price gets allocated across the assets you're acquiring (equipment, inventory, furniture, goodwill, non-compete agreements) and you depreciate those from the new (higher) value going forward.

Simple example: You buy a landscaping company for \$500K. The seller's equipment on their books is fully depreciated (worth \$0 to them). You allocate \$150K of your purchase price to that equipment. Now you're depreciating \$150K over 5–7 years. If we assume 5 years for simplicity, that's \$30K of depreciation expense per year that you get to take against business income (so roughly \$30K of income that's sheltered from tax each year for 5 years). That's real tax shield, starting year one.

In a stock deal, you get none of that. You inherit the seller's old depreciation schedule. The equipment is still worth \$0 on the books, and you get \$0 depreciation expense to offset business income. You paid \$500K for the business and get almost no deductible basis from it.

To put some numbers on it, as the buyer in an asset deal, you're getting \$150K of new depreciable basis. If your marginal tax rate is ~37%, that's up to ~\$55K of tax savings over the life of that depreciation just from this one allocation decision alone. In a stock deal,

that same \$150K of basis doesn't exist for you, but the seller keeps more of the after-tax proceeds because they avoid ordinary income rates on depreciation recapture.

Why the seller pushes for stock

Because their tax bill is dramatically lower.

In a stock deal, the seller pays long-term capital gains on the entire sale, usually 15–20% federal. Clean, simple, one tax event.

In an asset deal, the IRS breaks the sale into pieces. The allocation matters enormously here. If you load up the purchase price on equipment, the seller pays ordinary income rates on the depreciation recapture, potentially 37% on that chunk. Goodwill gets capital gains treatment, but other categories don't.

So when a seller says "I need it to be a stock deal," what they're really saying is: "I don't want to pay an extra \$30–60K in taxes." That's their problem, not yours, but it becomes your problem if you concede it without negotiating a price adjustment.

The bridge: 338(h)(10) elections

If you're buying an S-corp (very common in SMB), there's a tax election called a 338(h)(10) that lets both parties treat the deal as an asset sale for tax purposes while keeping the legal structure of a stock sale. Both sides have to agree to it, and the seller typically needs a price bump to offset their higher tax hit, but it's a real tool worth knowing about.

Not available for every structure (doesn't work cleanly for C-corps or LLCs taxed as partnerships), but if you're looking at an S-corp and the seller won't budge on stock deal, this is worth bringing to the table.

The allocation fight nobody warns you about

Even when both sides agree to an asset deal, the allocation of purchase price is its own negotiation. The IRS requires both parties to file consistent allocations (Form 8594), and how you split the number across asset classes affects both of your tax outcomes.

As a buyer, you want to allocate as much as possible to:

- Equipment / FF&E (fast depreciation, bonus depreciation still available)
- Non-compete agreements (amortized over 15 years, but deductible)
- Working capital assets (step-up carries through)

You also want to minimize allocation to goodwill, not because goodwill is bad, but because equipment depreciates faster and creates more near-term cash tax savings.

The seller wants the opposite. This is a real negotiation and most buyers don't even know it's happening.

Takeaway

Before you get anywhere near LOI, know what entity type you're buying and get your CPA in the room. Not just for due diligence, but to model the after-tax purchase price under both structures. A deal that looks like \$500K can cost you an extra \$40–80K over 5 years depending on how you structure it.

Has anyone run into issues here, successfully negotiated a 338(h)(10) election, or had a seller dig in hard on stock deal? What did you end up doing?

Feel free to drop questions below, as I'm happy to clarify anything.

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SBA is changing the rules on July 4th. Here's what it actually means if you're trying to buy a business right now.

There's been a lot of noise about the SBA changes going into effect July 4th, and most of what I've seen shared online focuses on the new number without explaining what it actually does for a buyer who is in the middle of a real deal. So here's my plain English version.

The big headliner is the combined loan limit update. Previously, you were capped at \$5 million across both the 7(a) and 504 programs combined. Meaning, if you maxed out your 7(a), you had nothing left for 504. Starting July 4th, the SBA is treating those two limits as separate buckets. You can now stack a full \$5 million 7(a) alongside a full \$5 million 504, for a combined total of \$10 million in SBA-backed financing. That's the highest combined limit in the agency's history. It is important to note here that it is **not** a single \$10M loan, as SBA 7(a) still caps at \$5M.

What that actually means for you is this. If you've been looking at a deal in the \$4 to \$7 million range that involves both a business acquisition and a real estate component, like a contractor who owns their building for example, then you previously either had to choose how to split the \$5 million between the two loan types, or find conventional financing to bridge the gap. Starting July 4th, you no longer have to. Instead, you can finance the

business acquisition through a 7(a) and finance the real estate separately through a 504, and both now get full SBA backing without one eating into the other. So SBA 7(a) can be used to buy the business (brand, cash flow, customers), and SBA 504 can be used to buy the real estate and large equipment the business owns.

For most buyers targeting businesses under \$3 million, this specific change doesn't move the needle that much. The deals where it becomes genuinely meaningful are in the \$4 to \$8 million range, particularly when real estate is included in the deal or when the buyer is looking at a larger platform acquisition and wants to preserve their conventional credit capacity for some post-close improvements. A few examples of where this can stick include things like roofing, HVAC, plumbing (shop & yard), as well as self-serve car washes, storage facilities, and laundromats.

That being said, there are a few other rule changes that took place during 2026 (effective March 1st) that affect buyers at every deal size, and I'm not seeing anyone talk about them much.

The first of which relates to ownership eligibility. As of March 1st, SBA financing requires 100% U.S. citizen or national ownership. Green card holders are out. So, if you have any indirect ownership in your acquisition entity through a holding company or trust with non-citizen ownership, that disqualifies the application. This is becoming a real structural issue for buyers who use complex holding structures or have partners who are green card holders, which is quite common these days.

The second is the death of the automated credit shortcut. You might have read online that the SBA requires a minimum FICO SBSS score of 165 for small loans. Throw that playbook out. As of March 1st, **the SBA completely sunsetted the SBSS score model entirely.** Lenders can no longer use that automated credit score to fast-track approvals. They are now forced to perform a comprehensive commercial credit underwriting process on every single loan, regardless of how small it is. If your deal relies on a fast, automated turnaround, expect longer processing times and a much heavier documentation requirement from your lender today.

The third is a trap for partial sellers retaining minority equity. Historically, if a seller rolled over equity but kept their stake under 20%, they were completely exempt from personally guaranteeing your new acquisition loan. That is not the case anymore.

Under the updated guidelines, if a seller retains **any** minority equity slice under 20%, **they are now hit with a mandatory personal guarantee for the first two years of the loan term.** If they cross that 20% threshold, it then escalates to a full-term guarantee for the life of the loan.

The bottom line here is that the \$10 million combined limit is real, and it opens up a nice lane for mid-market buyers that didn't exist before. However, the changes that will actually affect more SMB deals on the regular are the ownership eligibility rules, the higher credit score floor change, and the seller minority-equity personal guarantee update. So, if you're in an active deal or getting close to LOI, these are worth walking through with your lender before you get too deep into the process.

Is anyone here working a deal in that \$4 to \$8 million range, where the new stacking rule changes what you can do structurally? And has anyone already run into the ownership eligibility issue using a Hold Co with indirect non-citizen owners? What are you actually hearing from lenders on that one?

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Earnouts from the buyer's seat: when to walk, what to cap, and the SBA trap nobody mentions

A few people asked for a follow-up to my earnout post from earlier this week, specifically from the buyer's perspective. The original was a neutral examination of how earnouts play out in real deals. This one is sharper. It's what I tell buyers when they call me with an earnout already in their LOI.

The short version is that most earnouts shouldn't exist and the ones that do should be smaller, shorter, and more constrained than what your seller's broker is putting in front of you.

1. Default to no earnout. Make the seller justify why one is needed.

The broker's frames it as "earnouts bridge the gap between what the seller wants and what the buyer will pay," but that's the wrong framing for buyers. If you can't agree with the seller on a cash price, then the deal isn't fully priced. An earnout doesn't bridge that gap, it just defers the gap and adds an administrative burden on top.

Earnouts really make sense for buyers when there's genuine uncertainty about future performance and the seller has more information about it than you do. If the seller is

claiming the business is about to break out into a new growth phase, fine, let them earn that future cash by hitting milestones. If they're just asking you to pay more than the trailing financials justify, that's not an earnout. That's overpaying with extra steps.

2. The headline earnout number is the smallest cost. The real costs come later.

Every earnout creates work for you post-close. You've got to set up separate accounting, audit rights for the seller or their accountant, reporting obligations, disputes about what counts and what doesn't, and management time spent producing the earnout calculations instead of running the business.

I've seen some buyers spend 20-30 hours a quarter on earnout administration during the earnout period. So you can expect a few years of that, baked into the structure.

The other thing to consider is the capital impact. Earnout payments are typically deferred liabilities on your books. Your lender may factor them into DSCR calculations even though you haven't paid them yet. If you're trying to refinance or take on additional debt during the earnout period, that liability sits on your balance sheet, limiting your flexibility.

3. The terms to refuse, no matter how reasonable they sound.

Some structures should be a non-starter for buyers. The seller's broker will frame these as "industry standard," but you should push back on all of them.

Revenue based earnouts. Revenue is the easiest metric for a former owner to influence post-close. Use EBITDA or specific operational milestones like retained customer count, signed renewals on top accounts, or completed integrations. If the seller refuses anything but a revenue-based structure, that tells you they're planning to influence revenue after close.

"While employed" or "as long as the seller stays on as a consultant" structures. These are litigation magnets and tax disasters. If the seller wants to stay involved post-close, you should structure the consulting compensation separately from the earnout.

Open-ended time periods. Earnouts longer than 36 months drift in significance, as the business you bought won't look like the business at month 40. You should look to cap the earnout window and make the trigger metrics specific to that window.

Ambiguous EBITDA definitions is another one. So if the LOI says "EBITDA above \$X," demand a one page exhibit defining exactly what EBITDA means, including: which add-backs are allowed, what new costs are excluded, how acquisitions are treated, what happens if you launch a new product line. If your seller resists this, that's your warning sign.

4. The SBA full standby trap that surprises buyers late.

This one catches buyers who structure the earnout in the LOI without checking with their SBA lender first. SBA 7(a) lenders sometimes treat the earnout as part of the seller's deferred consideration tied to the acquisition, especially if the earnout structure resembles a seller note.

When the SBA classifies it that way, the earnout has to go on full standby. No payments to the seller until the SBA loan is paid off, usually 10 years. The seller almost certainly didn't agree to a 10-year payment delay. They agreed to a 24-month earnout with annual or quarterly payments.

By the time you discover this conflict, you've already negotiated terms and signed the LOI. Now you have to renegotiate the earnout, push for more cash at close instead, or find a workaround. None of those conversations are easy.

You should talk to your SBA lender about earnout structure before you sign the LOI, not after. Some lenders are more flexible than others on this, so it's worth knowing which one you're working with.

5. Red flags when the seller is the one pushing hard for an earnout.

When the seller or their broker is driving the earnout structure, stop and ask why.

A seller who insists on a revenue based metric often knows revenue is more gameable than profit. So, when sellers want 30% or more of the deal in earnout, they're often less confident in the business than the marketing materials (CIM) may suggest. And if they refuse any cap on the earnout, then they're signaling they want unlimited upside even if the business outperforms, which means they probably think it will.

None of these are automatic deal-killers, but each one gives you some additional information. If a seller is pushing hard for earnout terms that disadvantage you, ask yourself what they know that you don't.

6. If you do accept one, here are the structural protections to lock in.

When an earnout makes sense and you've decided to proceed, the basic protections every buyer should have in the agreement are:

- A specific dollar cap on total earnout exposure.
- A defined time window (24 or 36 months, never open-ended).
- EBITDA or operational metrics, never just revenue alone.
- Clean reporting obligations defining what you owe the seller and on what schedule.

You may also consider an acceleration clause if there is a possibility that you sell the company before the earnout period ends, that uses a defined buyout value.

If your draft LOI doesn't have all of these included, the your seller's attorney can use the ambiguity later, so get them nailed down in the LOI itself, not in the purchase agreement.

The pattern across all of this is basically the same as the seller has more information about the business than you do, will be on the sidelines while you run it, and has every incentive to structure terms that maximize their take regardless of how the business actually performs. Your job as the buyer is to either refuse the structure entirely or squeeze it tightly enough that you're protected from the worst outcomes.

If anyone has earnout questions on a specific deal or wants a gut check on terms being offered, just comment below and I'll respond.

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Earnouts: What brokers describe vs. how they actually play out

Earnouts come up on roughly 1 in 4 small business deals that I see, and the broker introduces them the same way almost every time. “It’s a clean way to bridge a price gap. The seller gets paid based on performance, the buyer protects against downside, everybody wins.”

That’s the pitch. The reality is messier. I want to walk through what an earnout actually becomes once you’re past the LOI and into the purchase agreement, because too many first-time buyers (and a fair number of sellers) sign up for something they don’t fully understand.

1. Sellers genuinely hate earnouts. They just don’t say it out loud at LOI stage.

When a broker tells you the seller is “open to an earnout,” what’s usually happening is the seller wants to get the deal moving and figures they’ll fight about it during contract negotiation. By the time their M&A attorney gets involved, that 30% earnout often becomes 15%, or disappears entirely, or gets restructured in ways the buyer didn’t expect.

If you're a buyer assuming a 25-30% earnout is going to hold from LOI through close, plan for it not to. Run your numbers at the higher cash price as your real scenario, and treat any earnout reduction at the contract stage as a surprise you should be ready for.

2. Revenue based earnouts are basically a gift to the seller.

Brokers love revenue-based earnouts because they're easy to calculate. That ease cuts in one direction. Revenue is the simplest metric for a former owner to influence after closing. They stay on as a consultant during transition, push some friends-and-family customers your way, encourage some channel stuffing at year-end, and revenue numbers that look great on paper for 12 months while margins quietly collapse. I had two separate clients bring me deals to evaluate last month where the broker proposed revenue earnouts, so it's a fairly common play.

If you're going to do an earnout, use EBITDA or specific operational milestones, such as retained customers at month 12, signed renewals on top accounts, or completed integrations. I have almost every buyer we work with insist on this when earnout talk comes up.

3. The earnout formula is where the real fight happens.

A typical broker-supplied LOI handles the earnout in one or two sentences. Something like "Seller will receive 25% of EBITDA above \$X for years 1 and 2." That sentence creates more billable hours for M&A attorneys than almost any other clause in the agreement.

The questions that come up later like: Does EBITDA mean book EBITDA or adjusted? Who defines the adjustments? Are management fees the new owner pays themselves counted? What about a new product line, is that revenue in the calculation or carved out? What about refunds and returns, do those reduce the earnout, or only top-line revenue?

Each one of those questions can swing the payout by 10-30%. Get the formula nailed down in the LOI itself, not in the purchase agreement. Brokers will resist this because it slows the LOI process. Resist back.

4. After closing, the seller has to trust your books, and a lot of them don't.

This part nobody mentions. After close, you control the company. The seller is on the sidelines watching the calendar tick toward their earnout payment dates. They have limited visibility into what you're actually doing with the business.

If the seller has any reason to believe you might be running the company in ways that minimize their earnout, even if you're not, they're going to make life difficult. I've seen

sellers demand quarterly audited financials, request QuickBooks access, threaten to sue when margins drop, and tie up payments in disputes for years.

The fix is to build clean reporting obligations into the purchase agreement and to use earnout metrics that are hard to manipulate. Even then, expect some tension.

5. The tax treatment can quietly wreck the seller's net.

A lot of brokers like to describe earnouts as deferred payment for the business. That sounds like capital gains treatment. It often isn't.

If the seller stays on in any capacity post-close (consulting, transition services, employment), the IRS can recharacterize earnout payments as compensation. That means ordinary income tax rates instead of capital gains. The difference can be 15-20 percentage points on the earnout portion of their proceeds.

The seller's tax attorney needs to look at the structure, not just the M&A attorney. I've seen sellers find out about this at filing time and it sours the post-close relationship fast.

6. The earnouts that actually work have a cap, a floor, and a clear exit ramp.

Open ended earnouts where the seller gets X% of EBITDA above some threshold for "as long as they're an employee" tend to end in litigation. The structures I've seen that actually work tend to share a few things:

A specific time window (24 or 36 months, not open-ended). A floor amount the seller gets if they hit any reasonable performance. A cap on total earnout exposure for the buyer. Audit rights with a third-party arbitrator if there's a dispute. An accelerator clause if the buyer sells the company before the earnout period ends.

If your earnout doesn't have most of those elements, it's probably going to cause problems for one of you.

Earnouts are a real tool but they're not the simple "bridge the gap" instrument brokers describe. They shift risk, create administrative burden, and can put real strain on what was supposed to be a clean transaction.

If you're heading into negotiation and an earnout is on the table, get an M&A attorney involved before you sign the LOI, not after. Same advice for sellers. The structure you agree to in the LOI is what your lawyer will be stuck trying to fix later.

If anyone has earnout questions or wants a gut check on terms they're being offered, just drop it below and I'll respond in the comments.

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The "Phantom SDE" Trap: How Unpaid Family Labor Destroys Small Business Valuations

Every week I see someone talking about a "beautiful" main-street business generating \$400k in Seller's Discretionary Earnings (SDE), and listed at a clean 3x multiple. On paper, it looks like a slam dunk acquisition that will easily support an SBA 7(a) note.

Then the buyer takes over, and within 30 days, the entire operation collapses into a cash flow crisis.

What happened? They fell face first into the **Phantom SDE Trap**.

When you buy a mom-and-pop business, you aren't just buying a set of financial ledgers, you are buying an entire family ecosystem. To protect yourself, you have to look for the invisible labor that is running the machine.

The Invisible Corporate Org Chart

In micro-cap M&A (deals sub \$1M in SDE), it is extremely common for a business to rely on uncompensated or severely undercompensated family labor.

Before you sign an LOI, look for these three common profiles:

- **The "Free" Bookkeeper:** The seller's spouse handles all human resources, accounts payable, accounts receivable, and end-of-month reconciliations. They aren't on the payroll, or they take a nominal \$500/month stipend.
- **The "On-Call" Family Technician:** The seller's son or son-in-law handles fleet maintenance, emergency IT infrastructure, or weekend customer service dispatch.
- **The "Below-Market" Manager:** A family member runs daily operations but is paid a flat \$40,000 salary for a role that would easily command \$85,000 plus benefits on the open market.

The Brutal Underwriting Reality (The Replacement Wage Adjustment)

Brokers love to leave these family arrangements completely out of the recast financial sheets. They treat that extra cash as pure, underwritable profit available to the buyer.

An SBA Preferred Lending Partner (PLP) credit committee will not.

The moment an institutional underwriter looks at the operational workflow, they will force a **Replacement Wage Adjustment**.

Let's look at how the math completely destroys a deal's viability:

- **Marketed SDE:** \$400,000
- **Marketed Purchase Price (3.0x):** \$1,200,000
- **Required SBA 7(a) Annual Debt Service (approx):** \$180,000

If you need to hire a full-time W-2 bookkeeper (\$55k/year) and a professional operations manager (\$85k/year) to replace the family members who are walking away at closing, your real numbers shift instantly:

Actual SDE => \$400,000 - \$55,000 - \$85,000 = \$260,000

Your Debt Service Coverage Ratio (DSCR) just went into a tailspin:

DSCR => \$260,000 (Actual Cash Flow) / \$180,000 (Debt Service) = 1.44x

On paper, a 1.44x DSCR passes the bank's minimum 1.25x floor. But look at what is left over for *you*, the owner: **\$80,000 a year**. You just signed a personal guarantee on a \$1.2 million federal loan, took on 100% of the operational risk, and ended up making less than the manager you hired.

How to Filter for Phantom Labor Before the LOI

When you are interviewing a seller during early diligence, stop focusing entirely on their growth projections and start asking operational velocity questions:

1. *"Walk me through the exact life cycle of an invoice from the moment a client calls to the moment the cash hits the bank. Who physically touches that data?"*
2. *"Who manages the schedule, handles corporate insurance renewals, and logs into QuickBooks on Sunday night?"*
3. *"Are there any active employees related to you by blood or marriage, and what does their exact day-to-day work involve?"*

If their answer involves a family member who isn't staying post-close on a permanent, market-rate W-2 contract, **the marketed SDE is a fiction**.

The Bottom Line: Never buy a business where the profit relies on free labor. You have to normalize the payroll before you calculate your purchase multiple. If the broker gets defensive when you demand a replacement wage adjustment, they are trying to sell you a job, not an enterprise asset.

What's the weirdest family labor arrangement that you've spotted in a CIM?

If you're looking at a deal right now and trying to figure out how to calculate a realistic replacement wage adjustment or debt-service ratio before you submit an LOI, drop the basic operational layout below and I'll respond in the comments to help stress-test the math.

What your broker probably didn't tell you about add-backs

Brokers evaluate businesses to sell them. Banks evaluate businesses assuming they will fail.

If you don't know the difference between a 'Seller Discretionary Expense' and an 'Operational Necessity,' you are funding your own disaster.

When you're buying a small business, one of the first numbers you'll see is usually SDE.

Seller's Discretionary Earnings.

And the way that number gets calculated can make or break the deal.

The basic idea is simple: start with business profit, then "add back" expenses that a new owner supposedly won't have after closing.

But here's the problem:

Not all add-backs are real.

An add-back is not just "an expense the seller wants to ignore."

It's a claim, and the seller is basically saying:

"This expense showed up in the past, but it will not be necessary for the buyer going forward."

That claim needs to be tested.

Some add-backs are usually reasonable:

- One-time legal fees
- Clearly personal auto expenses
- Non-recurring repairs
- Owner salary normalization
- Personal meals/travel that are clearly not business-critical
- One-time consulting or cleanup expenses

Some need more support:

- Spouse or family payroll
- “Excess” owner compensation
- Rent adjustments
- One-time marketing spend
- Unusual insurance or professional fees
- Discretionary travel
- Repairs and maintenance that may actually recur

And some are big red flags:

- “The new owner won’t need this employee”
- “Revenue would be higher if we advertised”
- “The owner didn’t really work that much”
- “These expenses are personal” with no backup
- “COVID adjustment” without a clear explanation
- “Growth adjustment” for revenue that hasn’t happened yet

The biggest mistake buyers make is applying the purchase multiple to the seller’s adjusted SDE without pressure-testing the adjustments.

Example:

Seller says the business does \$300K SDE.

You’re paying 3x.

Purchase price: \$900K.

But after reviewing the add-backs, you determine only \$240K is actually supportable.

At the same 3x multiple, that business is worth \$720K.

That's a \$180K difference.

And it can get worse when debt is involved.

If you're using **SBA financing**, inflated add-backs can make the deal look like it clears debt service coverage when it actually doesn't. The lender may haircut the add-backs, which can blow up the structure late in the process.

That's when buyers get surprised.

The broker's CIM showed one number.

The seller expected a valuation based on that number.

The buyer made an offer based on that number.

Then the lender or diligence provider says, "Not so fast."

My rule of thumb:

Every add-back should be provable, non-recurring or discretionary, and transferable to the buyer.

Before submitting an LOI, I'd ask:

1. Is this add-back supported by actual financial records?
2. Did this expense really happen?
3. Will the buyer truly avoid this cost after closing?
4. Is this a one-time expense, or does it happen every year?
5. Would a lender accept this adjustment?
6. Would I still buy the business if this add-back was removed?

Add-backs aren't bad. They're necessary in small business acquisitions.

But unsupported add-backs are one of the easiest ways to overpay for a business.

The seller's SDE number is a starting point.

It is not the number you should blindly underwrite.

Checking to see how others underwrite this. **What's the most questionable add-back you've seen in a deal?**

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Your business is worth less than you think if the revenue lives in your head. Here's how buyers see it.

Many of the sellers I've worked with spend years building a profitable business and then walk into a sale process genuinely surprised when a buyer offers less than expected, asks for a holdback, or structures in an earn-out. In almost every one of those cases, the root cause is the same thing: the business runs on the seller's relationships, and the buyer can see it even when the seller can't.

Here's how to think about this before you ever talk to a broker.

1. What buyers are actually underwriting when they look at your business.

A buyer financing through an SBA loan needs to demonstrate to a lender that the business can service its debt after you leave. Not while you're still there, and not with you on a handshake agreement to help out. The lender's credit committee is asking one question: does this revenue survive a clean ownership transfer?

If the honest answer is "probably, because my customers love me," that's not bankable. Buyers and their lenders need documented evidence that the revenue is attached to the business, not to you personally. When that evidence isn't there, the buyer either walks, reduces the price, or structures in protections that shift the risk back to you in the form of holdbacks and contingent seller notes.

2. How buyers spot it even when you don't disclose it.

You don't have to volunteer that you're the reason customers stay. Buyers are trained to find it anyway. They ask for a customer list with tenure. If your top five clients have been with

you for ten or more years and started right around when you took over, that's a signal. They ask the broker what you actually do every day, not what the CIM says. They ask to walk through a normal week in your words. They listen for how many times you say "I" versus "my team."

The more you say "I handle that," "they always call me directly," or "I've known that client for twelve years," the more a sophisticated buyer is mentally adjusting your multiple downward. They're not doing it to be difficult. They're doing it because their lender requires them to.

3. How it directly affects your sale price.

Owner dependency compresses your multiple, usually by one to two turns of EBITDA depending on severity. On a business doing \$300K in SDE, the difference between a 4x and a 3x offer is \$300K in your pocket at closing. That's not a negotiating tactic. That's a buyer stress-testing what happens to DSCR if revenue drops 20 to 25 percent in year one because you're gone and three long-tenured clients follow you out the door.

If a buyer can't service their SBA debt at 75 to 80 percent of your current revenue, they either can't get approved or they price that risk into the offer. Either way, the number goes down.

4. What you can actually do about it before you go to market.

This is where most sellers leave money on the table, because this is fixable, but it takes time.

Start introducing your key customers to whoever will be the operational face of the business after you leave, whether that's a manager, a key employee, or a future operator. Do it naturally, over months, not in a staged way right before you list. Buyers will ask those customers questions and the answers need to reflect genuine relationships, not a rushed handoff.

Document what you do. If a customer calls you directly with a problem, write down the resolution process so someone else can handle it. If you close the big accounts, build a sales script and let someone else run a few calls. Every hour of institutional knowledge that exists only in your head is a dollar off your price.

Build recurring contract structures wherever you make sense. A client on a one-year service agreement with auto-renewal is worth more to a buyer than the same client on a handshake relationship you've maintained for a decade.

5. What the transition plan signals to a buyer.

Sellers who have already thought through the transition get better offers. It's that direct. When you can walk a buyer through exactly how each key account gets introduced, what you'll say to those clients about the ownership change, and how long you're genuinely available after close, it removes the biggest uncertainty in the deal.

Sellers who get defensive when buyers ask transition questions, or who say "my customers will be fine, they buy the product not me," are sending the exact opposite signal. Buyers hear that as confirmation that the seller knows the relationships are personal and isn't willing to acknowledge it.

Bottom line.

The financials tell a buyer what your business has done. The transition story tells them whether a new owner can replicate it. Both matter, but only one of them shows up in your CIM automatically. The other one you have to build deliberately, and the best time to start is 12 to 24 months before you ever talk to a broker.

If you're thinking about an exit in the next couple of years and owner dependency is something you're wrestling with, drop your situation in the comments. Happy to respond below and share how I'd think about it from a structuring and valuation standpoint.

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The seller IS the business. How to find out before you buy it.

Many of the first-time buyers I talk to spend months analyzing the financials and almost no time analyzing what actually happens to those financials when the seller walks out the door. That's the part that keeps me up at night when I'm reviewing a deal.

Here's my easy-to-read version of how to think about seller dependency before you're committed to anything.

1. What seller dependency actually means.

Every business has some level of owner involvement. The question is whether the revenue, the key relationships, and the day-to-day operations can survive a clean handoff, or

whether they're so tied to one person that the business you're buying on paper isn't really the business you're getting in practice.

The most dangerous version of this isn't a seller who works long hours. It's a seller whose name, reputation, or personal relationships are the reason customers stay. If the top three clients have been doing business with the seller for fifteen years and have never met anyone else at the company, that's not a customer base you're buying. That's a personal network you're renting until it finds the exit.

2. The broker package will almost always understate this.

CIMs and broker teasers tend to say things like "the owner works approximately 20 hours per week" or "the business runs largely on systems." In my experience, that's rarely the full picture. What it usually means is that the seller has handled the hard stuff so long that it feels routine to them, but no one else in the building knows how to do it.

Ask the broker directly: what does the seller actually do every day? Who do the key customers call when there's a problem? Who handles vendor negotiations? Who closes the big deals? If the honest answer to most of those is "the seller," you have a dependency problem that isn't showing up in the financials yet.

3. How to measure it before you spend anything on diligence.

You don't need a full data room to get a read on this. In your early conversations, ask for two things.

First, ask for a customer list with tenure. If you see that the top five customers have been around for ten or more years and started right around when the current owner took over, that's a signal. Long-tenured customers in a small business are often loyal to a person, not a company.

Second, ask the seller to walk you through a normal week in their own words. Not what's in the CIM, but literally what they do Monday through Friday. Most sellers will tell you the truth here because they're proud of it. Listen for how many times they say "I" versus "my team."

4. How it affects what you should pay.

Seller dependency should compress your multiple, just like customer concentration does. The way I like to stress test it is simple, just assume the seller is gone on day 31 and ask yourself what the business looks like at 75 or 80 percent of current revenue. Run your DSCR at that number. If you can't cover your debt service at that level, the dependency risk is not priced in and you're paying a systems driven multiple for a people driven business.

On a \$1.2M acquisition with an SDE of \$300K, the difference between a 4x and a 3x multiple is \$300K off the purchase price. That's not a rounding error. That's the number you should be negotiating toward when you can document that the revenue is relationship-dependent and the relationships belong to the seller.

5. How to protect yourself in the deal structure.

If you like the business and want to move forward, there are a few ways to build this risk into the structure rather than just hoping the transition goes smoothly.

A **seller consulting or training agreement** is the most common tool, and most deals include one. The problem is that most of them are too short and too vague. Ninety days is not enough time to transfer fifteen years of customer relationships. Push for six to twelve months with specific milestones, customer introductions, and a defined handoff process for each key account.

A **holdback** works similarly. A portion of the purchase price sits in escrow for twelve to eighteen months and gets released only if the business hits agreed-upon performance benchmarks. It's cleaner to get through SBA underwriting than a contingent note in some cases, so talk to your lender about which structure fits your deal.

Finally, make sure your **reps and warranties** cover the seller's knowledge of any customer relationship issues. If a key client has already signaled they're leaving or reducing spend, you want the seller on record saying they're not aware of any such conversations.

6. The transition plan is a diligence item, not an afterthought.

One of the biggest mistakes I see is buyers treating the transition plan as something you figure out after you close, when it really needs to be drafted and agreed to before you sign anything. Who introduces you to each key customer, and when? What does the seller say to those customers about why they're leaving? How long are they available by phone after the formal consulting period ends?

A seller who gets defensive about these questions is telling you something. A seller who is genuinely ready to retire and wants the business to succeed for the people who work there will have answers to all of it.

Bottom line.

The financials tell you what the business has done. **The seller dependency analysis tells you whether a new owner can replicate it.** Those are two completely different questions, and only one of them shows up in the CIM.

Do this work before the LOI, not after. By the time you're in due diligence, you've already spent money on attorneys, you're emotionally attached, and you're negotiating from a weaker position, which is exactly the same trap as customer concentration, just with a different trigger.

Has anyone here spotted the seller dependency issue right before close, or recently closed only to find out after?

If you're currently evaluating a deal and seller dependency is something you're trying to get your arms around, drop your situation in the comments, and I'll respond below with how I'd think about the risk and structure in your specific case.

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The customer concentration trap: How to find it before you sign anything

One risk that shows up in almost every deal, but rarely gets talked about clearly before LOI, is **customer concentration**. Most first-time buyers find out about it during due diligence, which is the worst possible time. By this point, you've already spent money on attorneys, you're emotionally attached to the deal, and you're negotiating from a weaker position.

Here's how to think about it before any of that happens.

What customer concentration actually means

It's simple. If one customer makes up a large chunk of the revenue, the business is fragile in a specific and dangerous way. If that customer leaves after you close, your ability to service your debt, cover working capital, and keep operations running changes dramatically, even though everything looked fine on the day you signed.

Most lenders start paying close attention when a single customer is above 15 to 20 percent of revenue. When above 30 percent, a lot of SBA lenders will either decline the deal outright or require significant changes to approve it. This is because SBA credit committees look closely at "business continuity," and if the loss of a single client can completely disrupt business cash flow, then the bank views it as an un-lendable risk. Above 40 or 50 percent,

and you're basically buying a business that lives or dies with one relationship that is incredibly hard to finance, if at all.

How to spot it before you have a full data room

You don't need to wait for formal due diligence to get a read on this. In your early conversations with the broker, just ask for two things:

- A simple breakdown showing the top 5 customers and what percent of revenue they represent.
- Whether those top customers are under contract, and if so, when those contracts expire.

You don't need perfect numbers. You just want to know, "Is anyone over 20–30%?" If a broker refuses to give even a rough breakdown after you've signed an NDA, that's useful information by itself.

What the right thresholds are

There's no magic formula, but a simple way to frame it is:

- **Under 10 percent:** You likely have a clean, diversified book. Lenders love this, and it generally protects your enterprise value.
- **10 to 20 percent:** It's manageable, but you want to understand how long that relationship has been in place and whether there's a recurring contract.
- **Above 30 percent:** There's some real risk here. You want either a lower multiple, a very sticky contract, or you need to actively price that structural risk into your offer.
- **Above 40 to 50 percent:** You're essentially buying a business with one major dependency. Your valuation multiple and legal structure need to reflect that absolute reality.

How it affects what you should pay

Concentration shouldn't just make you "nervous," it should change the numbers. One simple stress test I like to do is to take out the largest customer and see what the DSCR would be on your proposed debt. If the business can't service the loan without that customer, then the current price is basically assuming nothing ever goes wrong.

Buyers get burned when they pay a “diversified” multiple for a “concentrated” revenue stream. That pricing gap can easily be 1 to 2 turns of EBITDA or more, mostly depending on how concentrated the revenue is.

How to protect yourself in the deal structure

If you still like the business and want to move forward despite the concentration, there are a few ways that you can build some protection into the deal:

1. **Price Reduction:** Taking a clean price drop and asking for a lower multiple to account for the risk is the lowest-friction option and the easiest to get through SBA underwriting.
2. **Forgivable Seller Notes:** You can tie a portion of the seller note, or a hold back, to customer retention for a certain period of time. If that specific customer leaves within a 12-to-24-month window after close, then the principal balance you owe the seller gets forgiven dollar-for-dollar.
3. **Escrow Holdbacks:** Here, a portion of the purchase price sits in a third-party escrow account for 12 or 18 months and gets released to the seller only if that key customer relationship stays intact and regular billing continues.
4. **Strict Reps and Warranties:** Ask for reps and warranties that say that the seller confirms no top-five client has given notice, signaled they are leaving, or received special off-book pricing discounts that aren't accurately accounted for in the historical financials.

None of these are unusual requests. If the seller is confident the relationship is solid, they shouldn't be terrified of sharing a little risk.

The quick version

Ask about customer concentration early, before you spend a single dime on accounting or legal diligence. Map the top five customers by revenue share, check whether they're under contract, and run a simple stress test on your bank debt service if the biggest one walks. Price the risk into your offer and build in protection that matches the level of exposure. The buyers who get burned on this almost always knew the concentration was there; they just didn't quantify it or protect against it before they signed the paperwork.

Has anyone here walked away from an SMB deal specifically because of customer concentration, or bought one and had a top customer leave post-close? How did it play out, or what did it do to your plan?

The pre-LOI diligence checklist I wish more buyers used before spending \$20k on QoE

A lot of first-time buyers treat diligence like something that starts after the LOI.

I think that's backwards.

By the time you sign, you're probably emotionally committed, the seller has stopped talking to other buyers, the broker is pushing momentum, and you're about to spend real money on QoE, legal, lender work, and deal docs. That's a bad time to find out the deal had obvious problems from day one.

I'm not saying you need a full diligence process before LOI. You usually won't have enough information for that anyway. But you should absolutely run a pre-LOI sanity check before you start spending serious money.

Here are the five things I'd want to know before signing anything:

1. What is the real SDE after pressure-testing add-backs?

Seller says the business does \$400k in SDE. Great. But what's inside that number?

If \$80k is an "owner salary add-back," you need to ask whether someone has to replace that owner. If yes, what does that cost? If \$50k is "one-time consulting" but it shows up every year, that's not one time. If \$30k is "personal expenses" with no documentation, I'm not giving it full credit.

Here's why this matters:

- Asking price: \$1.2M
- Stated SDE: \$400k
- Implied multiple: 3.0x (which looks reasonable)

But if \$80k of add-backs don't hold up, your real SDE is closer to \$320k. Now the same \$1.2M ask is 3.75x. That's a very different conversation, and you want to have it before you begin signing anything.

2. Does the debt still work if SDE gets a haircut?

A lot of buyers model the deal on the seller's best-case SDE. That's dangerous.

If you're using SBA financing or any real leverage, you should model at least three scenarios before LOI:

- Seller-stated SDE

- 10% haircut
- 20% haircut

Then look at DSCR in each case. A deal showing 1.45x DSCR on stated SDE might drop to 1.16x after a 20% haircut. That's where lenders get uncomfortable and buyers start renegotiating late in the process. You want to know that before LOI, not after you've spent \$15k to confirm it.

If the deal only makes sense at the seller's cleanest number, it probably doesn't work for you.

3. Is customer concentration hiding inside the revenue?

This one kills deals quietly.

Revenue looks stable, margins look good, and the multiple looks fair. You then get the customer details and find that one customer accounts for 35% of revenue, has no contract, and has been buying because they're friends with the seller.

That's not just a diligence note. It changes the valuation, structure, seller note terms, transition risk, and sometimes whether the deal is even financeable at all.

Before LOI I'd at least ask:

- How many customers make up the top 50% of revenue?
- Is any single customer over 20%?
- Are there contracts in place?
- How much of the relationship sits with the owner personally?
- What happens to DSCR if the top customer walks?

You may not get perfect answers pre-LOI, but if the broker won't even discuss concentration, then that alone tells you something worth knowing.

4. What working capital is actually included?

This is easily one of the most common ways buyers overpay without realizing it.

Purchase price is not the whole deal. I like to explain it to my buy-side clients using an example: if the seller plans to pull out \$150k in AR and cash before close, and you need that to fund payroll and materials in the first 60 days, you didn't buy a \$1.2M business. You bought a \$1.35M business and found out after you signed.

Here are some questions I'd ask early:

- What cash stays in the business?
- What AR and inventory are included?
- What AP and accrued expenses come with it?
- Is there a working capital peg and a true-up mechanism?

If the answer is "we'll figure that out later," that usually means the buyer and seller are making very different assumptions, and that gets expensive fast.

5. What is the deal actually worth under a realistic structure?

Most buyers focus on the headline multiple. But structure matters just as much as price.

Here's another simple example to help: two buyers both offer \$1M. One gets a deal with no seller note, a thin DSCR, and no working capital protection. The other negotiates a \$150k seller note, a 90-day working capital true-up, and a holdback tied to the top customer staying. Same price. Completely different deals.

Before LOI I'd want a rough view of:

- Senior debt amount and estimated payments
- Buyer equity required
- Seller note size and terms
- Any earn-out or holdback and what it's tied to
- Working capital requirement beyond purchase price
- DSCR under base and downside cases

You don't need a 40-tab model, but you do need enough structure to avoid making a dumb offer.

The simple pre-LOI checklist

In summary, before signing an LOI, I'd want to be able to answer these five questions:

1. What is stated SDE, and what does it become after haircutting weak add-backs?
2. Does DSCR still work at 10% and 20% lower SDE?
3. Is any customer concentration large enough to change the deal?

4. What working capital is included, and what will I need to fund separately?
5. Is the proposed price reasonable under the actual structure, not just the headline multiple?

If you can't answer those five, you may not be ready for an LOI yet. Not because the deal is bad, but because you don't know what deal you're actually offering on.

The best buyers I've seen aren't the ones with the fanciest models. They're the ones who slow down just enough before LOI to catch the obvious stuff. That boring pre-LOI work actually saves you a lot of money.

What's the one thing you wish you had caught before signing your LOI? And did you end up closing the deal anyway, or did it blow up?

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Working Capital: The quiet way buyers overpay for SMBs (and how to not get trapped)

One thing I see first-time buyers consistently underestimate is working capital. Everyone obsesses over the multiple and purchase price, but the thing that actually keeps the lights on after closing is how much “fuel in the tank” you’re getting with the business.

Most CIMs I see have pages on add-backs with almost nothing on the working capital peg, how it’s calculated, or how the post-close true-up works. That’s where buyers quietly overpay.

What “working capital” really is in SMB land

In plain English, think of working capital as the day-to-day operating cushion you’re buying:

- Accounts receivable
- Inventory
- Less accounts payable and accrued expenses

Cash, long-term debt, and income taxes are usually carved out separately. You're buying enough AR + inventory – AP to keep the business running without immediately having to write another big check after you close.

If you don't define that clearly, you're basically trusting that the seller leaves "enough" in the business.

A simple example of how buyers get clipped

Say you're buying a contractor for \$500K.

- The business is seasonal. Busy from April–September, slow in the winter.
- The seller brings it to market and you close in February, when AR and inventory are both low.
- The purchase agreement basically says "customary levels of working capital" without a real definition or target.

You close, start ramping into the busy season, and suddenly realize you need an extra \$75K–\$100K to fund materials and float receivables before cash actually comes in.

There's no purchase price adjustment, no true-up. So in practice, you didn't just pay \$500K, you paid \$500K + the extra \$75K–\$100K you had to inject after close, because working capital wasn't properly pegged.

Same headline deal, very different effective price for the buyer.

What good looks like (from a buyer's perspective)

On a clean deal, the purchase agreement will usually:

- Define a specific working capital target (often a 12-month average, adjusted for one-offs and seasonality).
- Spell out exactly which accounts are included and excluded (AR, inventory, AP, accrued expenses, etc.).
- Specify how the post-close true-up works, for example in a period 60–90 days after close, the actual working capital at closing is compared to the target and the price is adjusted up or down dollar-for-dollar.

That maybe sounds a bit technical, but the principle is simple: you're paying for a business that comes with a "normal" level of fuel, not one that's been run on fumes to dress up cash flow before the sale.

Quick checklist for buyers

Before you sign an LOI or purchase agreement, ask yourself:

- What's the working capital target, in dollars, and how was it calculated?
- Does that target make sense given seasonality and how cash actually moves through this business?
- Is there a band or range (like $\pm 5\%$) where no adjustment is made? If so, how many real dollars does that represent?
- After modeling out your first 12–24 months post-close, how much additional cash will you realistically have to put in on top of the purchase price?

A deal that looks like \$500K on paper can very easily behave like a \$600K+ deal once you factor in the working capital you have to inject because it wasn't properly negotiated up front.

Has anyone here had a post-closing surprise on working capital? Either a true-up you didn't expect, or realizing six months in that you essentially bought a business that was under-fueled. What happened, and how did you handle it?